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As the IMF embarked on debt relief in 2005, this article tried to lay out the circumstances under which that made sense.

Debt Relief and Growth

In a number of developed countries, debt relief for low-income countries has become an important political issue. Rock stars and politicians rightly point to the overwhelming burden borne by poor countries who have to set aside a significant fraction of their national income to repay creditors. Worse still, they argue, much of this debt is 'odious,' built up by past corrupt dictators who whisked the money to Swiss bank accounts. Furthermore, evidence that countries with high debt tend to have low growth suggests that debt relief can help poor countries grow.

Several debt relief proposals are on the table, but there is little agreement among donors on which one makes the most sense. The proposals typically have a one-size-fits-all flavour, in part because uniform treatment would avoid politicking by potential recipients. But would poor countries benefit from uniform treatment? This article tries to clarify some of the broad principles that could lead to an optimal debt relief proposal.

NET FLOWS, NOT DEBT RELIEF, MATTER

Consider a poor country that has to repay $100 million to official creditors such as developed countries or international financial institutions in the current period. Assume it earns $50 million in foreign exchange in this period and has no other resources. Clearly, it cannot repay the debt fully out of its own resources. Now consider